

Q1 2025

Custom Managed Portfolios

Manning & Napier US Equity (RI)

Quick facts

Asset class:

North American Large Cap

Management style:

Blend¹

Number of holdings:

40

Sub-advisor:

Manning & Napier

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

July 01, 2000



What does the strategy invest in?

This strategy will invest in equities of US large capitalization companies. This strategy adheres to strict Socially Responsible Investing (SRI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-6.0%	-6.0%	8.5%	11.0%	17.2%	13.4%	9.7%
Benchmark ⁵	-4.2%	-4.2%	15.1%	14.3%	18.8%	13.9%	7.3%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	27.4%	25.4%	-15.7%	27.2%	26.0%	27.4%	5.3%
Benchmark ⁵	36.4%	22.8%	-12.2%	27.6%	15.8%	24.8%	4.2%

Standard deviation	8.8%	Sortino ratio	1.37	Downside capture	85.0%
Sharpe ratio	0.91	Beta (Equity)	1.18	Upside capture	105.4%

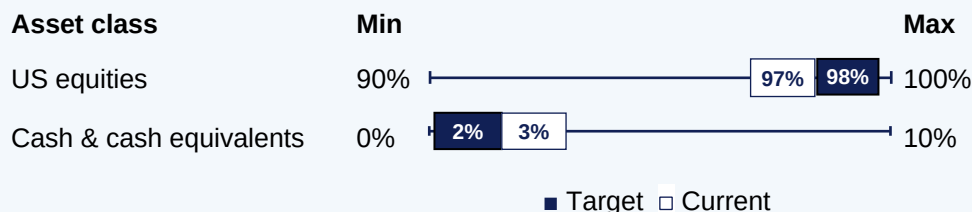
Largest holdings

1. MICROSOFT CORP	5.5%	6. MASTERCARD INCORPORATED	4.1%
2. META PLATFORMS INC CLASS	5.3%	7. SERVICENOW INC	3.6%
3. ALPHABET INC CL A	4.9%	8. TRANSUNION	3.3%
4. NVIDIA CORP	4.8%	9. VISA INC	3.3%
5. AMAZON.COM INC	4.1%	10. EPAM SYSTEMS INC	3.1%

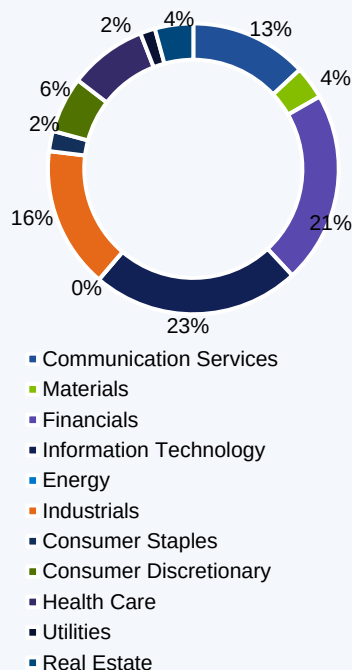
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
0.8%	34.75	24.32	8.37	7.32	641.93B	81.0%

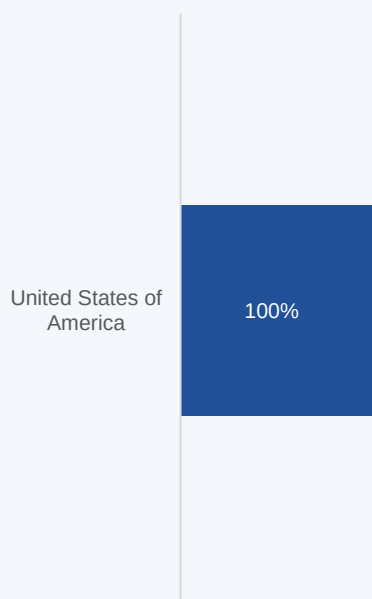
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

U.S. equity markets spent the first quarter of 2025 grappling with a mix of tariff-related uncertainty, inflation concerns, and signs of economic deceleration, which coincided with a correction that was driven largely by a sharp downturn in the Magnificent 7 and other richly valued areas of the market. Conversely, non-U.S. markets were boosted by a surge in economic growth optimism and foreign stocks rallied with positive returns.

As an exclusively U.S.-equity strategy, the Equity Series posted negative returns and underperformed its benchmark, the MSCI USA IMI. Sector positioning, led by underweight exposure to Consumer Discretionary and Information Technology (the quarter's worst performing sectors) aided relative returns, as the quarter's rotation away from the Magnificent 7 was broadly beneficial. However, those tailwinds were offset by negative impacts from select exposures to other technology-oriented companies, including EPAM Systems, ServiceNow, and CDW Corporation, which were caught up in the quarter's sell-off.

Market volatility led to a notable uptick in transactions, as the investment team centered their focus on the portfolio's highest conviction ideas in this ever-evolving market and economic landscape. Specific portfolio changes included increasing exposure to select Information Technology names, such as CDW, Synopsys, NVIDIA, and ServiceNow, as weakness throughout the sector provided an attractive buying opportunity. Likewise, we added to the portfolio's Health Care exposure by establishing a position in Danaher as well as increasing positions in Thermo Fisher Scientific and Vertex Pharmaceuticals. In terms of reductions within the portfolio, we exited our position in Evergy (a regulated utility company) as it reached our estimate of fair value, and we also sold our position in Applied Materials (a supplier of equipment to semiconductor manufacturers). While Applied Materials has executed well and continues to take market share, our concerns about potential continued volatility throughout the semiconductor supply chain and a cloudy picture of tariff policy's impact on the space led us to step aside for now.

In the days following quarter-end, the market environment has significantly evolved as the tariff levels announced by President Trump were greater than markets anticipated, and the U.S. and China engaged in a game of retaliatory escalation. The result has been dramatic volatility in risk assets alongside rising rates on the long end of the yield curve, which is a unique phenomenon in a risk-off environment. At the time of writing, markets are still trying to digest the continuous news flow coming from the White House (e.g., pausing reciprocal tariffs for 90 days with the exclusion of China while keeping a 10% base rate in place). As our investment team navigates this environment, we feel most certain about elevated volatility defining the road ahead. While painful, volatility tends to breed opportunity. In times like these, we believe that our time-tested investment process and focus on active risk management will help us navigate rough waters. As valuations become more compelling and individual opportunities present themselves, we stand ready to take advantage and position portfolios for future success.

Investment manager overview



Manning & Napier Advisors, LLC (Manning & Napier) was established in 1970 and is based in Fairport, New York, with offices and in Dublin, Ohio and St. Petersburg, Florida. Manning & Napier is a Delaware Limited Liability Company. A majority of the company is beneficially employee-owned, while 17.1% is currently publicly owned. Employee shareholders are a blend of youth and experience which provides for continuity going forward. William Manning, Co-Founder of Manning & Napier, is the Chief Executive Officer. An Operating Committee made up of senior executives averaging more than 20 years with Manning & Napier is responsible for the day-to-day operations of the Firm. In total, the Firm currently has in excess of 400 employees.

Investment philosophy

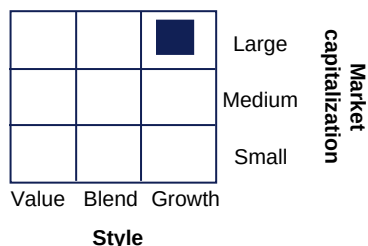
Manning & Napier's equity investment approach is based on a combination of qualitative company selection strategies and a strict pricing discipline. Implementation of this approach involves an interaction between top-down, macroeconomic analysis, and bottom-up industry analysis and securities selection.

Manning & Napier's in-house team of equity analysts relies upon three broad equity strategies: Strategic Profile, Hurdle Rate, and Bankable Deal. The Strategic Profile strategy focuses on companies positioned for strong future growth but whose valuations do not reflect their potential. This strategy brings together the strategic positioning of the company, its growth prospects, and the appropriate price to pay for those prospects. The Hurdle Rate strategy looks at companies that are in depressed sectors, but are strong enough to survive the hard times, and are likely to lead the rebound of their industry when supply/demand conditions improve. The Bankable Deal strategy takes an in-depth look at the assets and cash flow of a company to reveal value that is not reflected in the stock's price. This strategy focuses on under-appreciated, often under-utilized, assets on which the market is placing little or no value and also looks for possible catalysts to highlight or unlock this value.

Investment process and risk controls

The Firm's analysts review opportunities in various market sectors and in looking for a strategy fit, deploy the proprietary strategies mentioned above to select equities. Once a security has been identified as a portfolio candidate, a buy price is set. This pricing discipline sets stringent guidelines for analysts to follow and the dual focus on investment strategies and valuation has been effective at identifying attractive investment opportunities while forcing them to avoid overvalued situations. Once a stock is purchased, it is closely monitored and sold once the pre-determined sale price (i.e., fair market value) is met, the selection no longer corresponds to the strategy fit it was chosen under, or they determine there is a more compelling idea at a better value. However, if the strategy fit remains intact, Manning & Napier may consider taking advantage of a decline in the security's price and buy more of the security.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Blend – Combination of growth and value investment style

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Portfolios is distributed by Aviso Wealth Inc. Mutual funds and other securities are offered through Aviso Wealth Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated.

⁵ The benchmark is S&P 500 TR Index (CAD)

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21